THE GREEK POVERTY PARADOX

If Greece Has Recovered, Why Do So Many Households Still Struggle?

Official income poverty affects roughly one person in five. Yet about two households in three report difficulty making ends meet. The distance between them reveals a moving poverty line, an uneven recovery and the continuing weight of unemployment, wages and housing.

1 in 5

19.6%

People at risk of poverty — the official measure

2 in 3

66.7%

Households struggling to make ends meet

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The Poverty Rate Says One Thing. Households Say Another.

Looking at the labour market and some headline economic indicators, Greece appears to have recovered in part. Unemployment has fallen sharply. Output has grown for most of the last decade. The bailout years are no longer the first fact most economic summaries reach for.

But the closer we move to households, the less complete that recovery looks.

By the official income-poverty measure, Greece is in difficulty, but not exceptional. By what households report, it is almost in a category of its own. That is the paradox this piece unfolds: income poverty and reported hardship are telling two different stories, and the poverty rate becomes misleading when it is read alone, without context.

Two measures carry this whole piece. Income poverty, officially at-risk-of-poverty or AROP, is an income test: a household counts as poor if its income sits below 60% of its country's median, recalculated every year. Reported hardship is different and more direct: in an EU-wide survey, households are asked whether they can make ends meet, and those who say they manage only "with difficulty" or "with great difficulty" count as struggling.

FIGURE 1 **Greece Is Far Above the Poverty-Hardship Line**

Does official income poverty account for the hardship Greek households report?

▼ Methods and limits

Read with this. Descriptive comparison of two official measures. Reported hardship is answered by HOUSEHOLDS and income poverty counts PEOPLE, so the axis is labelled percent rather than either. In the second view the fitted line excludes Greece, describing the European pattern Greece is being judged against rather than one Greece helped set. The labelled point marks the median country on each measure taken SEPARATELY, so it is a reference point rather than an actual country: no member state necessarily sits there. Both views are country-level and say nothing about any individual household.

How Greece's hardship gap developed

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece: reported hardship	77.7	76.8	77.2	74.1	71.0	69.8	71.0	68.4	67.0	66.7
EU median: reported hardship	28.9	25.9	22.6	20.5	18.5	16.8	15.4	17.9	16.6	17.1
Greece: income poverty	21.4	21.2	20.2	18.5	17.9	17.7	19.6	18.8	18.9	19.6
EU median: income poverty	16.3	16.5	15.9	16.4	15.4	16.1	15.7	15.6	15.4	15.5

Where countries stood in 2024

Series	Income poverty (%)	Reported hardship (%)
Czechia	9.5	14.2
Belgium	11.4	17.1
Denmark	11.6	12.8
Netherlands	12.1	7.3
Finland	12.6	8.9
Ireland	12.7	16.9
Slovenia	13.2	13.6
Poland	13.8	11.5
Austria	14.3	13.1
Hungary	14.3	19.8
Slovakia	14.5	28.7
Cyprus	14.6	20.8
Sweden	14.8	9.9
Germany	15.5	7.3
France	15.9	21.8
Portugal	16.6	21.8
Malta	16.9	17.3
Luxembourg	18.1	8.5
Italy	18.9	18.7
Romania	19.0	23.8
Greece	19.6	66.7
Spain	19.7	21.9
Estonia	20.2	9.9
Croatia	20.3	19.8
Lithuania	21.5	11.4
Latvia	21.6	23.3
Bulgaria	21.7	37.4

Figure 1's first tab, “How Greece's hardship gap developed”, puts those two measures side by side and shows why the paradox holds. Since 2015, Greece's reported hardship has never dropped below two-thirds of households: it opens near 78% and eases only gradually. Its income-poverty rate spends the same decade hovering near a fifth, barely moving at all. Both EU medians sit far beneath Greece's line for reported hardship, the whole way through. (The EU median is the middle EU country on that measure, not an EU-wide average.) This isn't a single bad year showing up once. It's been the shape of an entire decade.

Switch to the second tab, “Where countries stood in 2024”, and the gap turns from a Greek pattern into a European outlier. Each grey dot is an EU country. The horizontal axis is income poverty; the vertical is reported hardship. The dotted line is the relationship the other twenty-six countries actually follow. Greece is the blue point far above it. At Greece's income-poverty rate, that relationship predicts about 20% of households struggling to make ends meet. Greece reports about 67%. The 47-percentage-point distance between those two numbers is the gap this piece tries to understand.

> Greek subjective hardship runs 52.6 points above relative income poverty on average, and Greece ranks first of 27 on hardship while ranking seventh on AROP.

The chart starts in 2015 because that's where Greece's own hardship gap is clearest, not because Eurostat's data is that young. The indicator can be reconstructed back past 2010 too, and this project checked that reconstruction against the official series everywhere the two overlap, but nothing later in this piece relies on it.

> The outcome is Eurostat's official subjective-hardship indicator, extended backwards before 2010 using a constructed series validated against it on 432 overlapping country-years.
>
> *The limits of this.* pre-2010 provenance is ours, not Eurostat's.

The two numbers are not rival opinions. They come from the same European system, from surveys of the same households, but they ask different kinds of questions: one about income relative to everyone else, one about a household's own sense of its budget. In most of Europe, those two answers move together. In Greece, they have stayed far apart, year after year.

But once a gap like that appears, the two numbers are not usually read with equal trust. Income poverty feels firmer: a number built from income, thresholds and ranks. Reported hardship feels softer: not necessarily a fact about a household's circumstances, but the way that household describes itself. Is that fair? Or is the hardship signal telling us something material that income poverty alone cannot see?

This Was Not Just a Feeling

If Greek households are simply answering a subjective question more darkly than everyone else, then this is a story about how people talk about their lives, not about poverty. Everything the rest of this piece does next would be measuring an echo, not an economy. That has to be settled first, and settled seriously, not waved off as an obvious no.

The test isn't whether a household *feels* like it's struggling. It's whether that feeling moves together with things that name actual events, not moods: falling behind on bills, being unable to cover a surprise expense, being unable to heat the home properly, going without several ordinary things at once. A vague question can be coloured by a bad mood. Four specific, concrete facts agreeing with it at once is a much harder thing for mood alone to produce.

FIGURE 2 **Hardship Moves With Concrete Financial Strain**

Did concrete affordability difficulties rise and fall with what Greek households reported?

▼ Methods and limits

Read with this. Same-survey corroboration, not independent validation or causal evidence. Greek correlations with reported hardship: unexpected expenses 0.92 · material deprivation 0.94 · keeping the home warm 0.87 · falling behind on bills 0.37. Every line is a distance from its own 2015-2024 average, including the European median, so three series on different scales can share one axis: the shapes may be compared, the levels may not. The scale is the same in all four tabs. European median hardship is deliberately absent, since the question here is whether the concrete difficulty moved with Greek reports, not how Greece compares.

Unexpected expenses

Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece: reported hardship	5.7	4.8	5.2	2.1	-1.0	-2.2	-1.0	-3.6	-5.0	-5.3
Greece: unexpected expenses	4.7	4.9	4.0	1.7	-0.9	2.0	-2.4	-5.1	-4.4	-4.8
EU median: unexpected expenses	7.5	5.6	2.5	-0.2	-0.9	-1.8	-4.7	-1.1	-2.9	-3.6

Material deprivation

Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece: reported hardship	5.7	4.8	5.2	2.1	-1.0	-2.2	-1.0	-3.6	-5.0	-5.3
Greece: material deprivation	2.0	2.8	2.7	0.5	0.2	-0.7	-1.7	-1.7	-2.1	-1.6
EU median: material deprivation	2.3	1.2	0.8	-0.1	-0.5	-1.0	-0.7	-0.6	-0.6	-1.2

Keeping the home warm										
Year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
Greece: reported hardship	5.7	4.8	5.2	2.1	-1.0	-2.2	-1.0	-3.6	-5.0	-5.3
Greece: keeping the home warm	7.6	7.5	4.1	1.1	-3.7	-4.5	-4.1	-2.9	-2.4	-2.6
EU median: keeping the home warm	1.5	-0.1	-0.2	-0.9	-0.6	-0.3	-1.1	0.8	1.1	-0.0

Falling behind on bills										
Year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
Greece: reported hardship	5.7	4.8	5.2	2.1	-1.0	-2.2	-1.0	-3.6	-5.0	-5.3
Greece: falling behind on bills	5.8	4.4	1.4	-0.5	-2.1	-6.6	-7.1	2.0	3.8	-0.7
EU median: falling behind on bills	1.9	2.2	0.3	0.9	-0.1	-1.3	-1.2	-1.5	-0.5	-0.9

Figure 2: three of the four tabs tell the same story, each as a correlation, where close to 1 means two measures rise and fall together and close to 0 means they move independently. In Greece's own year-by-year data, reported hardship tracks an inability to cover a surprise expense almost exactly (Unexpected expenses) at 0.92. It tracks going without several ordinary things at once even more closely (Material deprivation), at 0.94. It tracks struggling to keep the home warm at 0.87 (Keeping the home warm). When one line moves, the others move with it, year after year. And this isn't a Greek peculiarity. Pooled across all twenty-seven EU countries, comparing each country with itself over time rather than just rich countries with poor ones, the same relationships hold, at 0.63 to 0.80.

> Reported difficulty co-moves with arrears, inability to meet an unexpected expense, inadequate heating and severe deprivation at within-country correlations of 0.63 to 0.80.
>
> *The limits of this.* same-instrument corroboration, NOT independent validation; all items and the outcome come from EU-SILC; not uniform: arrears within Greece is 0.371.

The fourth tab (Falling behind on bills) tells a different story, and it's worth sitting with why. Falling behind on bills, the one item that sounds like the hardest, most factual anchor of the four, tracks reported hardship at only 0.37, by far the weakest of the set. Falling behind requires having had credit and obligations to fall behind on in the first place. A household that lost access to credit years ago, or never had any to lose, can be in real difficulty without that difficulty ever showing up as an unpaid bill. The weakest link in the evidence turns out to have an ordinary explanation, not a suspicious one.

None of this is independent proof, and that has to be said plainly rather than buried. Every one of these items comes from the same interview as the question about making ends meet: the same household, the same sitting. A household in a genuinely grim mood could rate the whole set grimly, and that alone would produce numbers like these. What's been shown is that reported hardship is coherent with concrete circumstances. It hasn't been shown, and can't be shown this way, that it's confirmed by something entirely outside the survey.

There is a second, different kind of check, and it does not depend on the same hardship questions. If this one number were an isolated fluke, one instrument twitching on its own, it should stand apart from everything else describing Greek life. It doesn't.

FIGURE 3 **The Problem Spread Across the Dashboard**

Did Greek disadvantage deepen on a few measures, or spread across many?

▼ Methods and limits

Read with this. Descriptive summary of the condition, not a predictor of it. DESCRIPTIVE ONLY. Breadth was tested as a predictor of reported hardship in P3a and does not survive: on its own it is not significant (p = 0.12), and once the other accumulated measures enter the model its coefficient reverses sign. It summarises the condition rather than explaining it. THE BASKET IS FIXED: these are the 16 indicators with a valid EU position in both 2008 and 2024, chosen without reference to whether they improved or deteriorated, so the same things are counted at both ends and in every year between. Unemployment, youth unemployment and the employment rate are absent because comparable EU coverage for them begins in 2009; hours worked, pay per hour, the work-effort squeeze and real wages are all present, so this is not a basket without labour-market information. The outcome and every model covariate are excluded. THE EU-COUNTRY MEDIAN is the median of the 27 member states' own shares on this basket -- a median across countries, not Eurostat's population-weighted EU aggregate -- named accordingly rather than simply 'EU'. Croatia never reaches full 16-indicator coverage in any basket year and does not appear as a line for that reason. The 'Which measures' view's axis is POSITION, not value: the indicators have no common unit, so 0 is the best place in the Union to be on that indicator and 100 the worst, whichever direction 'worse' runs in.

Of 16 indicators, **4 were already in the EU's worst fifth in 2008, 7 entered it by 2024, and none left**.

Which measures			
Series	**2008 position**	**2024 position**	**Transition**
Hours worked against hourly pay	59.3	100.0	entered worst fifth
Prices measured against wages	48.1	100.0	entered worst fifth
Pay per hour worked	55.6	100.0	entered worst fifth
Household income after inflation	51.9	100.0	entered worst fifth
Wages after inflation	51.9	100.0	entered worst fifth
The poverty line after inflation	51.9	100.0	entered worst fifth
Keeping the home warm	73.1	98.1	entered worst fifth
Hours worked each week	94.4	100.0	already worst fifth
What households expect of the year ahead	100.0	100.0	already worst fifth
Citizens leaving the country	86.4	96.2	already worst fifth
Income inequality	80.8	81.5	already worst fifth
Food prices	14.8	77.8	outside both years
Economic output per person	55.6	77.8	outside both years
Prices overall	53.7	70.4	outside both years
Housing and energy prices	63.0	59.3	outside both years
What households actually spend	48.1	48.1	outside both years

How many measures																	
Series	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
Greece	25.0	18.8	43.8	50.0	50.0	50.0	43.8	50.0	50.0	62.5	56.2	56.2	56.2	56.2	56.2	62.5	68.8
EU-country median	6.2	12.5	9.4	12.5	18.8	18.8	15.6	12.5	18.8	18.8	12.5	12.5	18.8	12.5	12.5	18.8	12.5

Take sixteen separate measures of Greek life (see Figure 3): wages, hours worked, prices, keeping the home warm, what households expect of the coming year, income inequality. They were filtered from a wider set of economic and social indicators to only those with a valid reading in both 2008 and 2024, so the count couldn't grow just because more things got measured later, and selected without regard to whether each one improved or worsened, so there was no room to cherry-pick which sixteen made the basket. The first tab (Which measures) lays out where Greece sat on each one, in each year, and whether it crossed into the EU's worst fifth, the bottom 20% of member states on that measure, or was already there. The point isn't that every one of them moved identically. It's that disadvantage spread across the dashboard, not just in one place.

Switch to the second tab (How many measures) and that spread turns into a single line. Before the crisis, Greece sat in the worst fifth of the EU on four of the sixteen, a quarter. Now it sits there on eleven, two thirds of the whole set. Plotted alongside it, the EU-country median barely moves over the same seventeen years. This isn't a general European drift. Most of these measures don't come from the same interview as the hardship question, either.

The list is not hand-picked. It includes every indicator in the project with a valid EU position in both 2008 and 2024, selected before looking at whether Greece improved or worsened. That is why some obvious labour-market measures are absent here: their comparable EU series begin in 2009, one year too late for the fixed 2008 basket. The appendix shows the fixed basket and the wider candidate set.

One more thing is worth mentioning here, carefully. Put the closest hardship items into the same statistical picture as the official poverty rate, and much of Greece's excess stops standing apart. That matters. But it also carries the same-survey problem all over again, in a sharper form. And it returns later in this piece, because it turns out to be exactly the point where the explanation looks strongest and least independent.

> Those same four items statistically absorb 71% of Greece's baseline residual (+46.92 to +13.74).
>
> *The limits of this.* ABSORPTION, never explanation; shared instrument is not shared cause; diagnostic only; never a headline explanation.

So the hardship signal is too materially connected to dismiss as mood. It is also too close to the same survey instrument to call independently proven. Both of those are true at once, and the honest version of this section holds them together rather than picking one. What it does settle is enough to move forward on: if the difficulty is real, why doesn't the official poverty rate register it?

The Ruler Moved With the Fall

One answer starts with the ruler itself: the official poverty line isn't fixed. It moves with the very economy it is supposed to be measuring.

The EU's headline poverty measure, at-risk-of-poverty, is not an income level. It is a percentage: 60% of whatever the national median income happens to be, *that year*. In an ordinary economy, where incomes drift up slowly and roughly together, that is a reasonable way to define being poor relative to your neighbours.

Greece's economy, from 2010, was not ordinary. Incomes fell together, hard and fast, and when the median falls, the poverty line falls with it. A household earning exactly what it earned five years earlier could find itself reclassified from poor to not poor, not because anything in its life had improved, but because the ruler measuring it had shrunk to match the collapse around it.

FIGURE 4 **The Poverty Line Looked Stable. Its Value Did Not.**

What happened to the line Greek poverty is measured against, and what does a fixed line show instead?

▼ **Methods and limits**

Read with this. The anchored series is an approximation built in this project and is labelled as such wherever it appears. The first view counts PEOPLE, the second counts EUROS. In the second, both lines are the same official threshold: one as published in each year's own money, the other converted into what it could buy in 2008. The cash line recovers and the purchasing-power line does not, and that difference is why the first view's two counts diverge. Both views are Greece only and support no cross-country statement.

Who falls below a fixed line

Series	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece: fixed 2008 threshold	25.6	22.8	20.7	21.5	21.2	19.7	17.0	18.0	24.6	33.3	39.7	40.6	39.8	39.8	38.3	37.3	34.6	30.8	32.7	33.6	32.0	30.[illegible]
Greece: current-year threshold	20.7	19.9	19.6	20.5	20.3	20.1	19.7	20.1	21.4	23.1	23.1	22.1	21.4	21.2	20.2	18.5	17.9	17.7	19.6	18.8	18.9	19.[illegible]

What the line itself is worth

Series	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Threshold in cash terms	4923	5306	5650	5910	6120	6480	6897	7178	6591	5708	5023	4608	4512	4500	4560	4718	4917	5269	5251	5712	6030	6510	7020
Same threshold in 2008 purchasing power	5819	6089	6264	6343	6377	6480	6808	6768	6027	5168	4589	4270	4228	4216	4226	4338	4498	4884	4838	4815	4878	5113	5358

Figure 4's first tab (Who falls below a fixed line) makes the moving-ruler problem visible: the official poverty rate barely moves because the line is allowed to fall with the national median. Hold the 2008 line fixed in real terms instead, and measured poverty roughly doubles, peaking above 40% in 2014. The second tab (What the line itself is worth) shows the mechanism more plainly still: the threshold may look stable in cash terms, but what it can actually buy collapsed, and has only partly recovered.

DESCRIPTIVE CORROBORATION

ANCHORED POVERTY, CORROBORATED BY INDEPENDENT MICRODATA

Independent microdata points the same way. A separate study, using Greek household microdata, estimates that 48% of the population was poor under a poverty line anchored before the crisis, for the same income year this project's own reconstruction puts at 40.6%.

What this lets us say. Independent microdata evidence points in the same direction: a fixed pre-crisis poverty line shows much larger crisis-era poverty than contemporaneous AROP.

What it does not. Treating 48% against 40.6% as a direct validation test, a bias estimate, or proof that this project's reconstruction is too low by seven to eight points -- the two differ in data, anchor year, price adjustment and vintage.

Andriopoulou, E., Kanavitsa, E. & Tsakloglou, P. (2020), Decomposing Poverty in Hard Times: Greece 2007-2016. LSE GreeSE Paper No. 149. source

That doesn't make the fixed line the "correct" one, and this project's own reconstruction of it says nothing about how Greece compares to any other country: it measures Greece against its own past, not against Europe. It asks a different question: the official rate measures who is far below the middle of *today's* Greece; the fixed line asks how many people are below a pre-crisis standard. When a whole country falls together, those two questions split apart.

Europe's broader measure, AROPE (at risk of poverty or social exclusion), tries to widen the lens. It adds deprivation and low work intensity to income poverty, so it should close the gap if the problem is only that income poverty is too narrow. It does close some of it: 9.8 of the 52.6 points, under a fifth. But it leaves most of the distance untouched, and its contribution shrinks over the decade.

> Switching to AROPE closes 9.8 of those 52.6 points (19%), leaving 42.8 unexplained, and its contribution shrinks from 11.0 points in 2015 to 7.3 in 2024.

FIGURE 5 **Where AROPE Sits, What It's Made Of, and Who Carries It**

Where does AROPE sit against income poverty and reported hardship, what is AROPE made of, and did every age and sex group move the same way?

▼ **Methods and limits**

Read with this. These are changes in group-level rates, not evidence about the same individuals over time. The 2024-2025 national increase was driven primarily by within-group changes, especially deterioration among people aged 65+, rather than population ageing. AROPE components are a UNION and may not be summed. Very low work intensity is part of AROPE, but the project does not hold a comparable national-total series for the Components view; its available age coverage uses a different population base, and aggregate component rates cannot reconstruct the AROPE union in any case. In all four views colour marks the measure or group and dash marks the country, so each Greek line is paired with the EU median for the same thing in the same colour. The per-component views with every other member state drawn behind are in the statistical appendix.

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Headline measures										
Income poverty: Greece	21.4	21.2	20.2	18.5	17.9	17.7	19.6	18.8	18.9	19.6
Income poverty: EU median	16.3	16.5	15.9	16.4	15.4	16.1	15.7	15.6	15.4	15.5
AROPE: Greece	32.4	32.6	32.2	30.3	29.0	27.4	28.3	26.3	26.1	26.9
AROPE: EU median	22.5	22.2	21.4	20.1	20.1	19.9	19.6	19.6	19.8	19.6
Reported hardship: Greece	77.7	76.8	77.2	74.1	71.0	69.8	71.0	68.4	67.0	66.7
Reported hardship: EU median	28.9	25.9	22.6	20.5	18.5	16.8	15.4	17.9	16.6	17.1

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Components										
Income poverty: Greece	21.4	21.2	20.2	18.5	17.9	17.7	19.6	18.8	18.9	19.6
Income poverty: EU median	16.3	16.5	15.9	16.4	15.4	16.1	15.7	15.6	15.4	15.5
Material deprivation: Greece	17.6	18.4	18.3	16.1	15.8	14.9	13.9	13.9	13.5	14.0
Material deprivation: EU median	7.8	6.7	6.3	5.4	5.0	4.5	4.8	4.9	4.9	4.3
AROPE: Greece	32.4	32.6	32.2	30.3	29.0	27.4	28.3	26.3	26.1	26.9
AROPE: EU median	22.5	22.2	21.4	20.1	20.1	19.9	19.6	19.6	19.8	19.6

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
By age											
All ages	32.4	32.6	32.2	30.3	29.0	27.4	28.3	26.3	26.1	26.9	27.5
Under 18	37.7	37.2	36.5	34.1	31.2	30.8	32.0	28.1	28.1	27.9	29.6
18-24	43.6	44.6	42.1	39.0	37.5	35.0	37.5	33.4	33.1	34.5	33.2
25-49	35.0	36.1	35.2	31.9	30.1	28.3	29.3	26.9	24.9	25.4	25.1
50-64	34.8	35.3	34.9	33.4	31.9	29.2	30.5	27.6	26.3	28.2	27.5
65 and over	17.5	16.6	18.4	19.2	20.5	19.4	19.3	21.0	23.9	24.9	27.7
EU: all ages	24.0	23.7	22.4	21.7	21.1	21.5	21.7	21.6	21.3	21.0	20.9
EU: under 18	27.4	27.1	25.1	23.9	22.8	24.1	24.5	24.8	24.9	24.2	24.3
EU: 18-24	29.7	29.8	28.1	27.2	26.6	27.8	27.3	26.5	26.0	26.3	26.3
EU: 25-49	23.3	22.8	21.3	20.3	19.3	19.6	20.2	20.0	19.6	19.2	19.1
EU: 50-64	25.6	24.4	23.3	22.4	22.1	21.5	21.9	21.0	20.8	20.7	20.8
EU: 65 and over	18.0	18.5	18.5	19.1	19.3	20.0	19.5	20.1	19.7	19.2	18.8

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
By sex											
All	32.4	32.6	32.2	30.3	29.0	27.4	28.3	26.3	26.1	26.9	27.5
Women	33.1	33.4	32.9	31.3	30.1	28.6	29.2	27.4	27.3	27.9	29.1
Men	31.6	31.7	31.6	29.2	28.0	26.1	27.3	25.2	24.8	25.9	25.9
EU: all	24.0	23.7	22.4	21.7	21.1	21.5	21.7	21.6	21.3	21.0	20.9
EU: women	24.9	24.7	23.4	22.7	22.1	22.5	22.6	22.7	22.3	21.9	21.9
EU: men	23.1	22.5	21.4	20.6	20.0	20.4	20.7	20.4	20.3	20.0	19.8

Figure 5 shows both sides of that result. The first tab (Headline measures) places income poverty, AROPE and reported hardship together: AROPE sits between them, but much closer to income poverty than to hardship. The other tabs show why one national number is still too smooth. Greece sits above the EU median on the two components with a comparable national series, income poverty and material deprivation; the third, very low work intensity, has no comparable national series and isn't shown. Older people move in the opposite direction from everyone younger; women remain above men throughout. The point isn't any one split on its own. It's that the national average compresses very different household positions into one line.

The official measures are not wrong. They are doing exactly what they were built to do. But they measure position, broadened risk and national averages. The household answering the hardship question is answering something narrower and more immediate: what daily life costs against its own budget. That is where the next part of the story has to go.

The Jobs Came Back. The Household Economy Did Not.

The strongest case for Greece's recovery is the labour market. Unemployment fell from its crisis peak to under 9%, and long-term unemployment fell with it. That is real recovery. But a household does not live on the unemployment rate. It lives on the wage that arrives, the prices facing that wage, what it costs to keep a roof over its head, and what is left when the month runs out. On that test, Greece's recovery looks much less complete.

Start with the part that clearly improved: long-term unemployment, meaning worklessness lasting twelve months or more. It stood at 16.4% of the labour force in 2015. By 2024 it had fallen to 5.4%. That is substantial progress. It means fewer households spent years outside work, and fewer had to run through savings, sell what they could, or lean on relatives just to absorb the next shock.

But employment was the exception, not the full household story. Greek real wages stood at about 77% of their 2008 level in 2015; by 2024, about 68%. Not recovering slowly. Not recovering. Greek wages have now been below their pre-crisis level for fifteen consecutive years, longer than any EU country except Hungary. Output per person sits between the two stories: the shortfall against Greece's own 2008 peak roughly halved, but it did not close. What people can actually buy for that money, consumption adjusted for local prices, did rise substantially, from roughly 14,800 to 21,300 in the units used for these comparisons. That is real, and worth saying plainly, because a piece about hardship can leave the impression that nothing improved. But the EU median rose faster over the same years, so the distance between Greece and its neighbours widened even as Greece's own number climbed.

FIGURE 6 **Some Gaps Closed. Others Widened.**

Which measures converged toward the EU and which diverged?

▼ Methods and limits

Read with this. A NARROWING GAP DOES NOT MEAN GREECE IMPROVED. A gap can close because Greece caught up, because the rest of the EU deteriorated, or because everyone moved in the same direction at different speeds. This chart measures RELATIVE CONVERGENCE, not national recovery, which is why both endpoints for Greece and for the EU median are in the tooltip and the table. "71% of the gap closed" and "conditions improved by 71%" are entirely different claims. The plotted quantity is dimensionless because the underlying gaps are measured in percentage points, index points and PPS per head and cannot share an axis.

Measure	Share of 2015 gap closed	Greece 2015	Greece 2024	EU median 2015	EU median 2024	Gap 2015	Gap 2024
Long-term unemployment	0.71	16.40	5.40	3.60	1.70	12.80	3.70
Share below own GDP peak	0.55	24.84	11.20	0.00	0.00	24.84	11.20
Housing-cost overburden	0.40	45.50	28.90	8.70	6.70	36.80	22.20
AROPE	0.26	32.40	26.90	22.50	19.60	9.90	7.30
Income poverty (AROP)	0.20	21.40	19.60	16.30	15.50	5.10	4.10
Real poverty threshold	0.02	65.14	78.77	106.45	119.11	-41.31	-40.34
Material deprivation	0.01	17.60	14.00	7.80	4.30	9.80	9.70
Reported hardship	-0.02	77.70	66.70	28.90	17.10	48.80	49.60
Real household income	-0.06	67.79	84.13	102.25	120.59	-34.46	-36.46
Hardship gap against income poverty	-0.06	56.30	47.10	13.10	1.20	43.20	45.90
Hardship gap against AROPE	-0.08	45.30	39.80	6.40	-2.30	38.90	42.10
Real wages	-0.78	76.91	68.18	101.43	111.85	-24.52	-43.67
Material resources	-0.93	14769.70	21309.90	16230.40	24129.10	-1460.70	-2819.20
Wage-adjusted affordability	-2.55	141.89	173.09	127.22	120.97	14.67	52.12

Figure 6 shows the shape: gaps that were mostly about jobs and housing narrowed considerably; the output gap narrowed too, but only by about half; gaps that were about wages, resources and what money can buy narrowed barely at all, or widened. But a chart built to fit fourteen measures onto one axis has to abstract away units, so the table below gives the same story in the numbers each measure actually reports in, and the plainest reading of each.

MEASURE	GREECE, 2015→2024	EU MEDIAN, 2015→2024	WHAT ACTUALLY HAPPENED
Long-term unemployment	16.4% → 5.4%	3.6% → 1.7%	Large improvement; Greece remained above the
Share below own GDP peak	24.8% → 11.2%	0.0% → 0.0%	Substantial but incomplete recovery
Housing-cost overburden	45.5% → 28.9%	8.7% → 6.7%	Improved, but the remaining disadvantage was
Real wages, 2008 = 100	76.9 → 68.2	101.4 → 111.8	Greece fell further behind
Material resources	14,770 → 21,310 PPS	16,230 → 24,129 PPS	Resources rose in Greece, but more slowly than
Wage-adjusted affordability	141.9 → 173.1	127.2 → 121.0	Affordability pressure deteriorated sharply relat

The table gives the same comparison in each measure's own units: percentages for unemployment, output and housing costs; purchasing-power-adjusted euros for material resources; index points for wages and affordability. It also keeps the main caution visible: an improving Greek number is not always a closing gap. Material resources rose sharply in Greece but fell further behind, because the EU median rose faster. And a narrowing gap does not tell us why it narrowed. It only shows the shape of recovery: employment improved most clearly, while wages, resources and purchasing power remained much more damaged.

FIGURE 7 **Recovery Looks Weaker From the Household Budget**

What do the three supported constructs actually look like for Greece against the EU?

Long-term unemployment

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece	16.4	15.4	14.3	12.5	11.3	10.5	9.2	7.7	6.2	5.4
EU median	3.6	3.1	2.7	2.1	1.9	1.8	2.0	1.9	1.7	1.7

Material resources

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece	14770	14786	15372	15833	16372	15475	16772	19402	20701	21310
EU median	16230	16494	17038	18006	18707	17386	19479	21317	23055	24129

Wage-adjusted affordability

Series	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Greece	141.9	148.6	148.2	156.8	162.2	163.3	165.6	171.2	173.1	173.1
EU median	127.2	124.7	124.6	119.8	118.4	117.7	120.2	120.7	122.3	121.0

That same split appears when we stop looking at gaps and look at today's levels, in Figure 7. Long-term unemployment, material resources and wage-adjusted affordability each place Greece on the wrong side of the European middle. They are also the three current conditions that carry information beyond the official poverty rate. But the point here is simpler: household recovery looks weaker than headline recovery.

A country can score badly on affordability two ways: by being expensive, or by paying poorly. Greece does both at once, and a household experiencing it does not much care which half is responsible.

> *Precise result*. Long-term unemployment, material resources and wage-adjusted affordability each predict reported hardship beyond income poverty and year effects.
>
> *Limits*. Cross-country association, not causal evidence; wage-adjusted affordability should not be read together with the work-effort-squeeze measure.

DESCRIPTIVE CORROBORATION

INDEPENDENT DESCRIPTIVE CORROBORATION (GREECE IN FIGURES)

A newer Greece in Figures analysis reaches a similar descriptive picture from outside this project's models: Greece is not last in Europe on actual consumption, but it combines long working hours, low hourly reward and high everyday prices. That does not test this report's explanation, and it uses a newer data vintage, but it independently points to the same household-budget pressure.

▼ **The full caveat**

What this lets us say. The independent picture -- Greece not last on actual consumption, long hours for comparatively low hourly reward, high relative prices in food and information/communication -- is consistent with and external corroboration for this project's own material-resources and wage-adjusted-affordability findings. Its central descriptive numbers reproduce against the primary Eurostat and ELSTAT releases they draw on.

What it does not. Treating the article's own comparisons, or its constructed AIC-per-hour ratio, as inferential evidence: it applies no bootstrap, no FDR correction, no within/between decomposition and no model comparison, and it does not test whether these factors account for reported hardship. Merging its 2025/2026-vintage figures into this project's frozen 2015-2024 panel. Repeating its car-ownership sentence, which cites a vehicle-STOCK figure as evidence of new purchases, or its 'all Greeks travelled' generalisation, which the underlying ELSTAT survey does not support. Reading its AIC rank, hours rank or price-level figure as contradicting this project's own numbers without first noting the different vintage or aggregate behind each.

Greece in Figures, "Γιατί οι Έλληνες νιώθουν τόσο φτωχοί" [Why Greeks feel so poor]. source

Put simply: the labour market improved, but the household budget did not recover with it.

> “*The unemployment rate came back. The paycheck did not.*”

A Decade of Damage Still Counts

The jobs came back. The household economy did not. But even that distinction still looks mostly at where things stand now. For households, duration matters: one year of unemployment is not the same as ten. A wage cut that lasts one year is not the same as one that lasts fifteen. Housing pressure that spikes and disappears is not the same as pressure that accumulates.

This is also the point where the story is easiest to overstate.

Instead of asking only how bad a condition is today, this section asks how much of it a country has carried since the crisis began: how much excess unemployment it accumulated, how many consecutive years its wages stayed below 2008, how much its housing costs deteriorated since 2010.

FIGURE 8 **Greece Had Among Europe's Largest Accumulated Burdens**

How much accumulated unemployment has each country absorbed, and where does Greece sit?

▼ Methods and limits

Read with this. cross-country association | no demonstrated within-Greece dynamic | no causal claim | current conditions not ruled out The three measures are in different units and may not be compared with each other: accumulated unemployment and housing deterioration are percentage-point-years, wage non-recovery is a count of consecutive years.

	Accumulated unemployment
Country	**Accumulated unemployment (percentage-point-years above 2009)**
Greece	137.5
Cyprus	64.1
Croatia	43.5
Spain	33.1
Italy	32.9
Bulgaria	26.6
Portugal	20.6
Slovenia	20.6
Netherlands	13.1
Luxembourg	9.1
Ireland	8.9
Slovakia	8.9
Poland	7.7
France	5.9
Lithuania	5.6
Denmark	5.6
Hungary	3.2
Estonia	3.1
Finland	2.9
Austria	2.5
Belgium	2.4
Romania	2.4
Latvia	2.0
Czechia	1.2
Sweden	0.6
Malta	0.0
Germany	0.0

Years wages below 2008

Country	Years wages below 2008 (consecutive years below the 2008 level)
Hungary	16.0
Greece	15.0
Italy	14.0
Finland	3.0
Sweden	2.0
Slovenia	0.0
Romania	0.0
Portugal	0.0
Poland	0.0
Netherlands	0.0
Malta	0.0
Latvia	0.0
Luxembourg	0.0
Lithuania	0.0
Austria	0.0
Ireland	0.0
Belgium	0.0
Croatia	0.0
France	0.0
Spain	0.0
Estonia	0.0
Denmark	0.0
Germany	0.0
Czechia	0.0
Cyprus	0.0
Bulgaria	0.0
Slovakia	0.0

Housing deterioration since 2010

Country	Housing deterioration since 2010 (percentage-point-years above 2010)
Greece	233.2
Bulgaria	116.3
Luxembourg	37.8
Portugal	35.8
Sweden	17.1
Estonia	11.8
Slovenia	9.9
Hungary	9.6
Germany	9.4
Italy	8.2
Belgium	7.9
Finland	7.0
France	6.6
Slovakia	6.1
Latvia	5.7
Netherlands	4.9
Ireland	4.6
Spain	4.5
Malta	4.5
Austria	4.3
Poland	4.2
Romania	4.2
Czechia	3.8
Cyprus	2.1
Lithuania	0.5
Croatia	0.0
Denmark	0.0

Figure 8 is the balance sheet the crisis left behind. Greece carries the heaviest accumulated unemployment burden in the EU, and the worst housing-cost deterioration since 2010; both rank first of 27. On wage duration it's not the heaviest: Hungary has gone slightly longer, sixteen consecutive years below its 2008 level to Greece's fifteen. The chart shows every country, not just Greece, so that one exception is visible rather than buried.

Carrying a heavy history is one thing. Whether that history still matters once you already know where a country stands today is a harder question, and a more important one: if you know this year's unemployment rate, does the decade behind it tell you anything more?

For three measures, it does. Countries carrying more accumulated unemployment, more years of wages below 2008, and more housing-cost deterioration report more hardship, even after today's poverty rate and current conditions are already accounted for.

> *Precise result.* Accumulated excess unemployment, wage duration below 2008, and housing-cost deterioration each still predict reported hardship once today's poverty rate and current conditions are controlled for.
>
> *Limits.* Cross-country association, not causal evidence, and not a demonstrated change within Greece over time.

The wage-duration result holds for one specific way of counting consecutive years below 2008; other reasonable ways of counting the same idea point the same direction without quite clearing the bar. The housing result is the shakiest of the three, and it's presented that way rather than rounded up to a clean yes.

The pattern is not universal, though, which is itself informative. For wage-adjusted affordability, it runs the other way: today's number carries the signal, and the accumulated version of it doesn't resolve.

> *Precise result.* For wage-adjusted affordability the pattern reverses: the current measure survives conditioning while the accumulated one remains inconclusive.
>
> *Limits.* Inconclusive, not unsupported.

Compounded inflation was also tested as an accumulated measure, but the result remained inconclusive under the available statistical power.

If history mattered as a general rule, that reversal shouldn't happen. It suggests these results are specific to work, wages and housing rather than some broad law that the past always counts for everything.

One more piece of the history simply isn't there to look at. What households could actually afford, tracked back to before the crisis, can't be built at all: the source data only starts in 2015, already years into the recovery. Moving the starting line earlier would have solved the data problem and created a different one: a measure that could no longer see the crisis it exists to describe. So it stays out, and is named here rather than quietly absent.

> Accumulated material resources (C1) could not be tested at all: the source series begins in 2015 and no 2008 baseline exists. The baseline was not moved to make it testable.
>
> *The limits of this.* infeasible, not null.

> The accumulated wage-shortfall coefficient cleared every conditional gate but its prior stage did not support it, so the pre-registered ceiling caps it. It is reported and is not a finding.
>
> *The limits of this.* capped by the E7 ceiling: E7 may only qualify or withdraw.

A related wage measure creates the opposite problem. On the face of the numbers, accumulated wage shortfall looks convincing. But it cannot be counted here, because the earlier stage did not establish the current wage-shortfall measure it depends on. A result can only stand as high as its foundation. It's named here, not because it counts, but because pretending it doesn't exist would be its own kind of dishonesty.

That is enough to say the crisis left a measurable mark. It is not yet enough to say how that mark moved inside Greece year by year.

Which is far enough to answer the question this piece opened with, and the answer is worth putting in one place. Greece's recovery was real where it was about work: unemployment fell sharply, and long-term unemployment fell with it. It was not real where a household actually lives, because wages sit further below their 2008 level than they did in 2015, what money buys has slipped further behind Europe, and housing still takes more than it did before the crisis. The official poverty rate measures relative income position, which is a different thing, and so registers almost none of that. And the length of the crisis still counts: countries carrying more accumulated unemployment, more years of lost wages and more housing deterioration report more hardship even once today's conditions are accounted for, though that is an association across countries and not a demonstrated cause.

Where the Evidence Stops

Not every question this piece asked got a clean answer. Two of those limits change how everything above should be read, and they belong in the open. The rest, measures the data was too thin to judge and two designs that failed outright, are recorded in full below. The boundary of the evidence is part of the story too.

The first limit is time. Everything in the previous section is a statement about how countries differ from each other. It is tempting, and wrong, to turn it into a statement about how Greece changed over time. Look for that change happening inside Greece itself, over the years, and the evidence isn't there to find it: not because it has been ruled out, but because this kind of comparison cannot see it either way.

> *Precise result.* None of three separate checks found change happening inside Greece over time: no within-country estimate came back significant in the expected direction, and no year-to-year test supported one either.
>
> *Limits.* These are three related checks on the same data, not three independent confirmations, and they weren't adjusted for running several checks at once.

FIGURE 9 **The Evidence Is Mostly Between Countries**

Is the accumulated effect between countries, or within one over time?

	Between vs within					
Accumulated measure	**Between (SD)**	**Within (SD)**	**Between p**	**Within p**	**First difference (raw)**	**First difference p**
Accumulated unemployment	0.5924	0.0296	0.0000	0.6867	0.0461	0.7324
Cumulative wage shortfall	0.6584	-0.0544	0.0130	0.3147	-0.0596	0.0284
Years wages below 2008	0.7271	0.0700	0.0025	0.0823	0.0721	0.4952
Cumulative GDP shortfall	0.3890	0.0674	0.0289	0.0600	0.0273	0.1442
Cumulative threshold shortfall	0.8271	0.0123	0.0000	0.5599	-0.0148	0.3917
Accumulated affordability pressure	-0.3953	-0.0764	0.3639	0.2825	-0.0298	0.0000
Compounded inflation since 2008	-0.1718	-0.1228	0.4947	0.3738	-0.0314	0.5766
Housing deterioration since 2010	0.9282	-0.0658	0.0000	0.2343	-0.0090	0.8679

Figure 9 shows why. This piece can show that countries carrying more accumulated hardship also report more difficulty, compared side by side in one snapshot across many countries. It cannot show that Greece's own reported difficulty grew as Greece's own accumulated hardship grew, year by year. The first compares many countries at once. The second would mean watching one country change over time, and that isn't what this kind of comparison can see.

The second limit is model dependence. The biggest complication is a genuine reversal, and it concerns the deprivation items from earlier, can't pay bills, can't heat the home, which absorbed most of Greece's unexplained excess. Those items come from the same survey as the thing they're explaining, and whether to let a measure like that into the picture is a real, defensible choice either way. So both versions were built. Choose differently, and Greece's whole position in Europe flips.

> *Precise result*. Greece's residual reverses from positive to negative, and its rank from 3rd of 27 to 25th of 27, depending on whether the same-instrument deprivation predictor is included.
>
> *Limits*. Neither specification is definitive; the two may not be merged or averaged, and selection between them may not be made on residual size.

FIGURE 10 **What the Recovery Story Still Misses**

Does the answer depend on which model is chosen?

▼ Methods and limits

Read with this. NEITHER specification is definitive. They may not be merged or averaged, and selection may not be made on residual size.

Country	Reference specification	Deprivation-free companion	Change
Luxembourg	8.80	15.48	6.68
Cyprus	7.05	10.75	3.70
Greece	6.93	-9.39	-16.32
Latvia	6.32	4.65	-1.66
Hungary	4.86	7.42	2.56
Bulgaria	4.06	14.65	10.60
Czechia	3.53	-3.63	-7.16
Slovakia	3.28	-0.68	-3.96
Belgium	3.13	5.26	2.13
Ireland	3.05	6.14	3.09
Croatia	2.62	-0.38	-2.99
France	1.85	3.88	2.02
Austria	1.36	0.95	-0.41
Portugal	1.30	0.62	-0.67
Malta	1.28	0.36	-0.91
Poland	0.56	-4.32	-4.88
Denmark	0.16	-3.65	-3.81
Sweden	-1.00	-4.55	-3.55
Slovenia	-2.66	-6.33	-3.67
Netherlands	-3.47	-4.87	-1.39
Lithuania	-4.17	-1.81	2.36
Germany	-4.31	-6.00	-1.69
Estonia	-4.49	-10.12	-5.63
Finland	-5.07	-6.80	-1.72
Italy	-6.35	-5.18	1.17
Romania	-10.32	9.76	20.08
Spain	-10.63	-10.06	0.57

> “*That is not a wobble. It is a reversal, and there is no honest way to pick between the two.*”

Figure 10 shows it: Greece moves from the third-worst country in Europe on unexplained hardship to the twenty-fifth, from a stark positive outlier to a stark negative one, on exactly the same rows of data, with one measure added or removed. The two results can't be averaged, and can't be chosen between by which looks more plausible; doing that is exactly what would make a check like this meaningless. Which is why nothing later in this piece leans on it.

▼ The measures that went quiet, and the designs that failed

Not every present-day measure earned a place in the story so far, and the reason is statistical power rather than a verdict against them. Nine were tried; three worked. The other six mostly went quiet rather than failed outright: with twenty-seven countries and a decade of data, most of them could only have caught an effect bigger than any effect worth caring about. Silence isn't a verdict. A few can be set aside for real, at least at the size this design could catch, and they are all measures of price inflation. The rest simply weren't put under enough pressure to say either way.

> *Precise result.* Six of nine current-level measures are inconclusive under the available statistical power, not unsupported. Annual food and housing inflation can be set aside with adequate power, and annual headline inflation at the magnitude this design could detect; compounded inflation since 2008 remains inconclusive.
>
> *Limits.* Inconclusive is not evidence of absence; the exclusions that do hold are narrow and specific to the size this design could detect.

Two further ideas were meant to carry real weight here, and neither survived contact with the data. They are named rather than quietly dropped. A synthetic Greece, built to track the real one before 2008 and read the divergence after as the crisis effect, collapsed into a blend of essentially two countries and missed four of the six conditions it had been required to meet before anyone looked at the result. Its chart is not shown here, because a dramatic picture built on a counterfactual that thin would persuade readers of something the evidence can't actually support. And the sixteen-measure spread from earlier made Greece's position worse, not better, once it was asked to predict rather than just describe, and its direction flipped once other measures were held steady, left deliberately unexplained here, since inventing a story for a strange result in a design that already failed is how failed ideas come back from the dead. Both are recorded for what they are: attempts that didn't work, kept visible rather than erased.

> *Precise result.* The synthetic-control comparison failed four of six pre-registered gates and is not usable; its own chart is withheld for that reason. Adding the sixteen-measure spread to the frozen model worsened Greece's residual and reversed its sign.
>
> *Limits.* Both are attempts that did not work, not findings; the sign reversal in the second is deliberately left uninterpreted.

The models stop there. But a model is not the whole recovery story. Some things that may shape how Greek households read their lives sit mostly outside this design: trust in institutions, the terms of adjustment, migration, taxes, health, and the way people answer subjective questions. They cannot be turned into findings here. They still matter for understanding why the recovery story feels incomplete.

What the Numbers Still Miss

There is a simpler explanation for everything above, and it deserves to be taken seriously rather than waved away: maybe Greeks are just gloomier answerers. The evidence so far can't settle that on its own: it all comes from inside one survey. A better test looks across different subjects entirely. A general tendency to answer darkly should drag everything down about equally; a pattern that's extreme on money and milder elsewhere points at circumstances instead. The table below makes that comparison directly: Greece against the EU on three different kinds of question, not just the one this piece has leaned on so far.

MEASURE	GREECE	EU MEDIAN	GREECE'S POSITION
Reported hardship	66.7%	17.1%	1st of 27, worst first
Financial expectations	-43.2	-1.8	1st of 27, worst first
Life satisfaction	6.7	7.3	2nd of 28, worst first

Greece is worst in Europe on the two money questions and close to worst on general life satisfaction: a difference of degree, not of kind, which makes a purely temperamental explanation harder to sustain, though it does not rule one out.

> Greece is consistently among Europe's worst countries on life satisfaction and consistently worst on financial hardship and expectations. The greater extremity of the financial indicators suggests domain specificity, but does not rule out a broader negative reporting tendency.
>
> *The limits of this.* Greece is second-WORST on life satisfaction by 2024, not middling; a broader negative reporting tendency is NOT ruled out; Greek life satisfaction ROSE over the observed period, 6.2 to 6.9; only its rank worsened, because other countries improved faster; the series begins in 2013, at the crisis trough, with no pre-crisis baseline.

One thing about that life-satisfaction number is worth holding onto, because it's easy to get backwards: it actually *rose* over the period. Greece's rank against it fell anyway, because its faster-improving neighbours pulled further ahead. A falling rank is not the same thing as a falling number.

DESCRIPTIVE CORROBORATION

FINANCIAL EXPECTATIONS AND LIFE SATISFACTION

Greece's money questions sit at the far edge of the European range while its general-wellbeing question sits closer to it. That difference of degree is what the comparison shows, and it is description rather than a test.

What this lets us say. The financial indicators are more extreme than the general-wellbeing one, which suggests domain specificity. A broader negative reporting tendency is NOT ruled out.

What it does not. Describing Greece as ordinary or middling on life satisfaction: it is second-worst in the EU by 2024. And reading a worsening RANK as falling satisfaction, when the Greek level rose over the period.

---

reporting_style_cross_indicator.csv, this project

One further check reaches back before the Eurostat series begins. A separate European survey shows Greece already sitting about 0.8 points below its comparison group before the crisis, falling further during it, and recovering its level, but not its relative position, by the 2020s. A long-standing pattern of lower reported wellbeing remains plausible on this evidence. It also cannot be established by it.

DESCRIPTIVE CORROBORATION

PRE-CRISIS WELLBEING BASELINE (ESS)

Across six rounds of a separate European survey, holding the same twelve countries fixed each time, Greece's level fell and then recovered while its position relative to the others did not. This is descriptive corroboration and not a test.

What this lets us say. On a balanced set of 12 countries observed in every Greek ESS round, Greece already sat about 0.8 points below the median before the crisis, fell to 5.64 by 2010/11, and recovered its LEVEL to roughly the pre-crisis value by 2023/24. Its comparative position did not recover: the gap to the balanced median is wider than before the crisis, and Greece has been worst of the 12 since 2010/11. A longstanding low-wellbeing pattern therefore remains plausible and generic pessimism or reporting culture CANNOT be dismissed.

What it does not. Splicing ESS to the Eurostat EU-SILC series, or reading the two as one trajectory. Attaching any confidence interval, standard error or significance test to these means, which are approximate reconstructions from displayed weighted percentages. Comparing ALL-COUNTRY ranks across rounds, since the country set varies from 22 to 30. Treating the decade after 2010/11 as observed.

European Social Survey Data Portal, public Analysis tab for stflife (life satisfaction, 0-10), rounds 1, 2, 4, 5, 10 and 11. source

Other factors come up in every account of the Greek crisis, and none of them was established here. Leaving them out silently would be misleading; treating them as findings would be worse, so they are recorded for what they are.

▼ **What this piece did not test**

Health belongs in this list too. Greece has one of the EU's highest rates of unmet medical need, and nothing here tests it against the other findings.

CONTEXTUAL EVIDENCE

INSTITUTIONAL TRUST

Trust in institutions is low in Greece, and there is a plausible route by which it could matter: a household that doesn't expect help to arrive may experience the same circumstances as more frightening. This piece has no check on that either way.

What this lets us say. May affect how households interpret insecurity; available evidence does not identify an independent effect.

What it does not. Presenting trust as an explanation of the residual, or implying it was tested and found to matter.

OECD (2024), OECD Survey on Drivers of Trust in Public Institutions - 2024 Results, Country Notes: Greece. OECD Publishing, Paris. source

LITERATURE-GROUNDED CONTEXT

CRISIS AND ADJUSTMENT POLICIES

The bailout programmes from 2010 reshaped incomes, job protections, pensions and public services at once and in a hurry. They are the backdrop to every accumulated measure described earlier.

What this lets us say. Help explain the historical setting; this project does not estimate their causal contribution.

What it does not. Attributing any share of the accumulated exposure to a specific programme or measure.

Andriopoulou, E., Kanavitsa, E. & Tsakloglou, P. (2020), Decomposing Poverty in Hard Times: Greece 2007-2016. LSE GreeSE Paper No. 149. source

CONTEXTUAL CONSEQUENCE

MIGRATION

Large numbers of working-age Greeks left during the crisis, and some have returned. This cuts both ways: plausibly a consequence of a broken labour market, and plausibly part of why the people who stayed look the way they do.

What this lets us say. A plausible consequence of prolonged labour-market damage and a possible contributor to it. It is UNSUPPORTED as an independent aggregate predictor here.

What it does not. Reading it as a driver, or as ruled out. E3 tested it on this panel and found nothing ($p=0.4006$), which speaks to aggregate prediction and not to either causal direction.

Lazaretou, S. (2016), The Greek brain drain: the new pattern of Greek emigration during the recent crisis. Economic Bulletin, Bank of Greece, issue 43, pp. 31-53. source

FUTURE HYPOTHESIS

TAX BURDEN AND UNEQUAL TREATMENT

Published research establishes that Greece's system of indirect taxes became markedly harder on lower-income households across the crisis. If a household's position worsened through tax in a way income-based poverty measures capture badly, that would be one route to the kind of gap this report describes.

What this lets us say. Published incidence evidence establishes that Greece's indirect tax system became markedly more regressive over the crisis. Whether that channel contributes to the hardship gap is a plausible hypothesis and is NOT tested here.

What it does not. Any quantitative statement linking tax burden to the hardship gap. The literature is about incidence, not about this outcome, and this project tested nothing on tax.

Kaplanoglou, G. (2015), Who Pays Indirect Taxes in Greece? From EU Entry to the Fiscal Crisis. Public Finance Review 43(4), 529-556. source

CONTEXTUAL EVIDENCE

WEALTH CONCENTRATION SINCE 2019

Independent ECB data show that of the €224.8bn increase in Greek household net wealth between 2019 and early 2026, about 72.6% went to the wealthiest fifth of households, while the bottom half accounted for about 9.2% and saw its own share of total wealth slip slightly. Rising wealth at the top while reported hardship stays high at the bottom is one plausible piece of the picture.

What this lets us say. Independent ECB distributional wealth accounts show that of the €224.8bn increase in Greek household net wealth between mid-2019 and early 2026 (+32.2%), about 72.6% accrued to the wealthiest fifth of households while the bottom half accounted for about 9.2%; the bottom half's own share of total wealth slipped slightly, from roughly 9.5% to 9.4%. This offers one plausible mechanism for how aggregate recovery and persistent reported hardship can coexist: a rising net-wealth total does not evenly reach the households reporting the most difficulty.

What it does not. Treating this as tested against this project's reported-hardship findings, or as an established explanation for the 52.6-point gap: it sits partly outside the 2015-2024 window and was never checked against any model here. Reading a rising net-wealth figure as equivalent to rising disposable income or an improved ability to pay bills: these changes are driven mostly by property and financial-asset valuations, not household cash flow. Treating the ECB's distributional wealth accounts as final: the ECB itself labels them experimental, combining household survey data with quarterly national accounts and extrapolating between survey waves.

European Central Bank, Distributional Wealth Accounts (DWA), Greece, household sector (S14), 2019 Q2–2026 Q1. source

Greek households report struggling at a rate far above what the official poverty figure predicts, and have done so consistently for a decade. Part of that distance is now easier to understand: official measures are narrower than the experience they are used to summarise; what households report corresponds to real material trouble, even if that agreement comes from inside a single survey; and both the present and the accumulated past carry information the official rate does not.

AUTHOR INTERPRETATION

POLICY IMPLICATIONS

What runs through all of this is that no single official number captures what Greek households are reporting. Each one misses something different, and the ones that catch what the others miss are not the headline.

What this lets us say. POLICY RECOMMENDATION, NOT AN EMPIRICAL CONCLUSION: poverty dashboards should combine AROP, its real threshold, anchored poverty, AROPE/deprivation and accumulated labour and housing indicators.

What it does not. Presenting this as a finding. It follows from what the analysis showed AROP alone misses; it is not itself a result.

What actually recovered is narrower than “recovery” implies. Unemployment fell substantially and genuinely. GDP’s shortfall against 2008 halved but never closed. Housing pressure eased, though the remaining disadvantage was large. Wages didn’t just stall: they got worse relative to 2008, for longer than any EU country but Hungary. Affordability deteriorated sharply. And the thing the whole piece exists to explain, the 52.6-point hardship gap, is still mostly unexplained by anything tested.

The checks that could be run did not reduce the result to mood or to a measurement artefact. Mood cannot be excluded outright, but the pattern is domain-specific, extreme on money, not on general wellbeing, and long-standing, predating the crisis on the ESS data, which argues against pure temperament. The correlation with concrete circumstances is strong. The disadvantage spreads across the whole dashboard, not just one measure. None of that adds up to “Greeks are just answering darkly.” It adds up to something that looks like real, material hardship that the official rate simply isn’t built to register.

So “unexplained” doesn’t mean “not real.” It means that no independently measured mechanism tested here accounts, robustly and on its own, for the size of the gap. That’s a different, and honestly stronger, claim than “recovery was real but incomplete.” The official poverty rate is not wrong. It is answering a narrower question than the one Greek households have been living.